

RBI

REGULATORY RAP

The RBI has been taking stringent regulatory actions against financial institutions. The latest to face the music is Kotak Mahindra Bank

BY TEENA JAIN KAUSHAL



► **THE RESERVE BANK** of India (RBI) has a history of taking stringent regulatory action against financial institutions to safeguard customers' interests. The latest step taken by the regulator is against Kotak Mahindra Bank, prohibiting it from onboarding new customers through its online and mobile platforms and issuing new credit cards. RBI's decision is rooted in concerns over the bank's IT infrastructure and risk management practices.

A week after RBI's action, joint MD K.V.S. Manian stepped down citing plans

DOUBLING DOWN

The RBI has prohibited the bank from onboarding new customers (through its online and mobile platforms) and issuing new credit cards

to "pursue other opportunities in the financial services space". Frequent tech outages have also been plaguing the bank.

How will the curbs impact Kotak Mahindra Bank?

"We think restrictions will impact growth, including the dwindling Current Account Savings Account ratio (down 13%) and new card acquisitions (growing at 21% YoY and spends at 34% YoY). This will lead to earnings being hit in the medium term," says a report by Emkay, dated April 24.

The curbs will be reviewed upon completion of an external audit and corrective action plan, which usually take six to 12 months.

Shivaji Thapliyal, Head of Research and lead analyst at YES Securities, says, "The ban on new credit card

FREQUENT TECH OUTAGES HAVE ALSO BEEN PLAGUING THE BANK

issuance has significance since it is a part of the strategy to increase share of unsecured retail to mid-teens over the next few years. The credit card book is about 4% of the loan book."

Kotak Mahindra Bank has issued a statement saying, "We want to reassure our existing customers of uninterrupted services... Our branches continue to welcome and onboard new customers, providing them with the bank's services, other than issuance of new credit cards."

The prohibition of onboarding through digital channels will also affect the expansion of 811 accounts—online savings accounts—which numbered 17.5 million as of FY23.

Thapliyal said that even though the ban on onboarding entails 811 accounts, they have the potential to see balance accretion. **BT**

@teena_kaushal